SUMMARY · MK 4 OPERATIONS & SUPPLY CHAIN MANAGEMENT · WEEK 2

Operations Strategy & Blue Ocean Strategy

Operations and supply chain strategy (Ch. 2) plus Blue Ocean Strategy (Kim & Mauborgne Ch. 1–2) and the Enel's Innovability case (INSEAD). Part 1: sustainable strategy (people, profit, planet), definitions, three stages of formulating strategy, the competitive dimensions, order qualifiers vs winners, IKEA's activity system, supply chain risk and productivity. Part 2: red vs blue oceans, the 108–company evidence, value innovation, the strategy canvas, four actions framework, ERRC grid ([yellow tail], Cirque du Soleil), the three tests (Southwest), six value-curve signals, and how Blue Ocean completes the strategy map. Parts 3–4: the Enel case and four discussion questions.

Material

1 Learning objectives and session flow

1. Know what a sustainable business strategy is and how it relates to OSCM.
2. Define operations and supply chain strategy, its competitive dimensions and trade-offs.
3. Explain implementation through activity systems and why strategy carries risk.
4. Apply the Blue Ocean toolkit: strategy canvas, four actions, ERRC grid.
5. Evaluate real moves — IKEA, Southwest, Cirque du Soleil, [yellow tail], Enel.

Foundations → Blue Ocean → Enel case → Discussion → Debrief

Ground rule

Tie every claim to a framework — a competitive dimension, a value curve, or an ERRC box.

2 Strategy starts with sustainability (triple bottom line)

People
Fair, beneficial practices toward labour, community and region.

Profit
Competitive shareholder return, long-term value, lasting economic benefit to society.

Planet
Protect the environment or at least do no harm; cradle-to-grave assessment of true environmental cost.

Why in operations?
Sourcing, manufacturing, logistics and disposal carry social and environmental impact. Critics: conflicting criteria cost efficiency; firms in developing economies must first survive.

3 What operations & supply chain strategy is, and how it's formulated

Term	Definition
Operations & supply chain strategy	Broad policies and plans guiding resource use to implement corporate strategy.
Operations effectiveness	Performing activities to best implement strategic priorities at minimum cost, across every function.

Consequences: different clock speeds (effectiveness results in 12–24 months), capabilities as a portfolio, planning as a repeated boardroom process.

Stage	Process	Outputs

1. Strategic analysis	Vision, mission, objectives; competitive analysis; priorities	Customer preferences, technologies, demographics, competition
2. Initiatives	Major steps; product design and operations/supply chain initiatives	Product/platform and operations changes
3. Implementation projects	Specific projects, resources, funding and procurement	Project plans

Fast-moving industries refine these up to four times a year.

4 The competitive dimensions: how do customers choose?

Dimension	Phrase	Explanation
Cost/price	"Make it inexpensively"	Commodity-like; huge segment, fierce competition — only one low-cost producer.
Delivery speed	"Make it quickly"	1–2 hour onsite repair beats a 24-hour guarantee.
Delivery reliability	"Deliver when promised"	A missing tyre delivery can idle a line; FedEx's cornerstone.
Quality	"Make a great product"	Design quality (features for the target) and process quality (defect-free).
Coping with demand changes	"Change its volume"	Scaling up cuts cost; scaling back means layoffs and asset cuts.
Flexibility & new-product speed	"Change it"	Wide variety and time to develop products and convert processes.
Support (7th)	"Support it"	Technical liaison, meeting launch dates, after-sale support.

5 Trade-offs: order qualifiers vs order winners

No firm can be best at every dimension; management decides which are critical.

Order qualifiers

Screening criteria that let a product be considered — they get you shortlisted, not the sale.

vs

Order winner

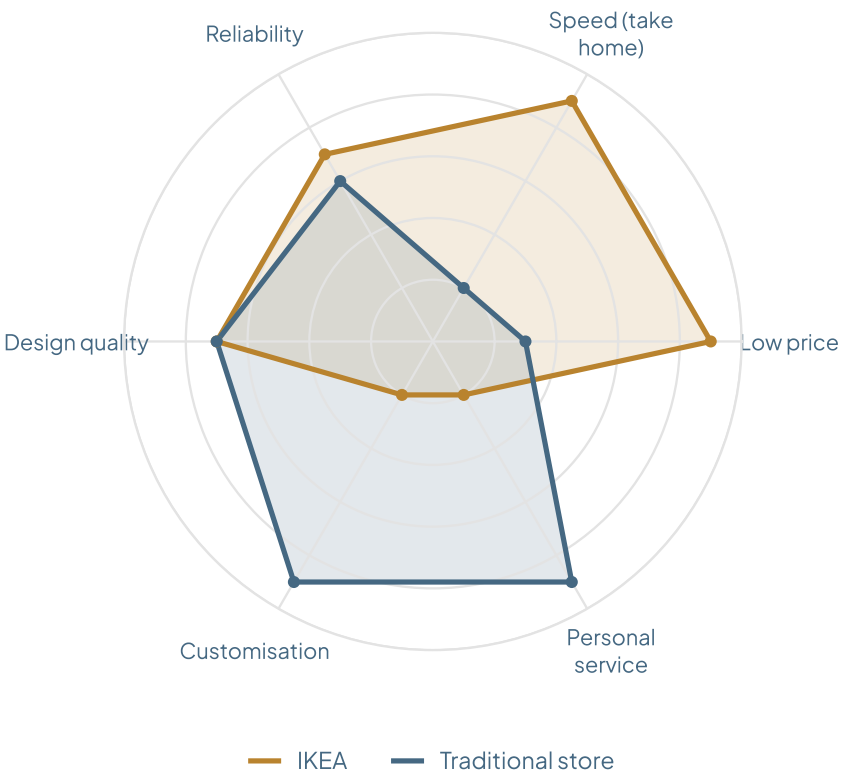
The criterion that differentiates and on which the buyer finally chooses.

Example	Qualifiers	Winner
Notebook	14-inch screen, under 3 lb, latest OS, under $1,000	Longest battery life
Office-supplies supplier	Has the items, 24-hour delivery, guaranteed, private web catalogue	Discount schedule

! Migration rule

Today's order winner tends to become tomorrow's qualifier.

Competitive dimension profiles (conceptual)



6 Strategy is delivered by activities: IKEA's activity system

Typical furniture retailer	IKEA
Showrooms with samples and thousands of swatches	Self-service with room-like displays
Salespeople escort customers	Own low-cost, ready-to-assemble designs
Order relayed to a third-party manufacturer	Self-serve warehouse; take it home today
Home delivery in 6–8 weeks	Paid extras: delivery, assembly, kitchen planning, design
Max customisation and service at high cost	*Target: young buyers wanting style at low cost*

Principle

Advantage comes from how the whole system of activities fits and reinforces itself — hard to imitate piecemeal.

7 Strategy carries risk — and must be measured (productivity)

Supply chain risk: coordination risks are managed with safety stock, lead time and overtime; disruption risks are random. Steps: (1) identify sources (natural disasters, capacity/infrastructure failure, supplier failure, labour actions, price volatility, conflict); (2) assess probability and impact (financial, environmental, reputational, viability, human life); (3) mitigate — some risks are accepted as normal cost.

≡ **GM 1996**

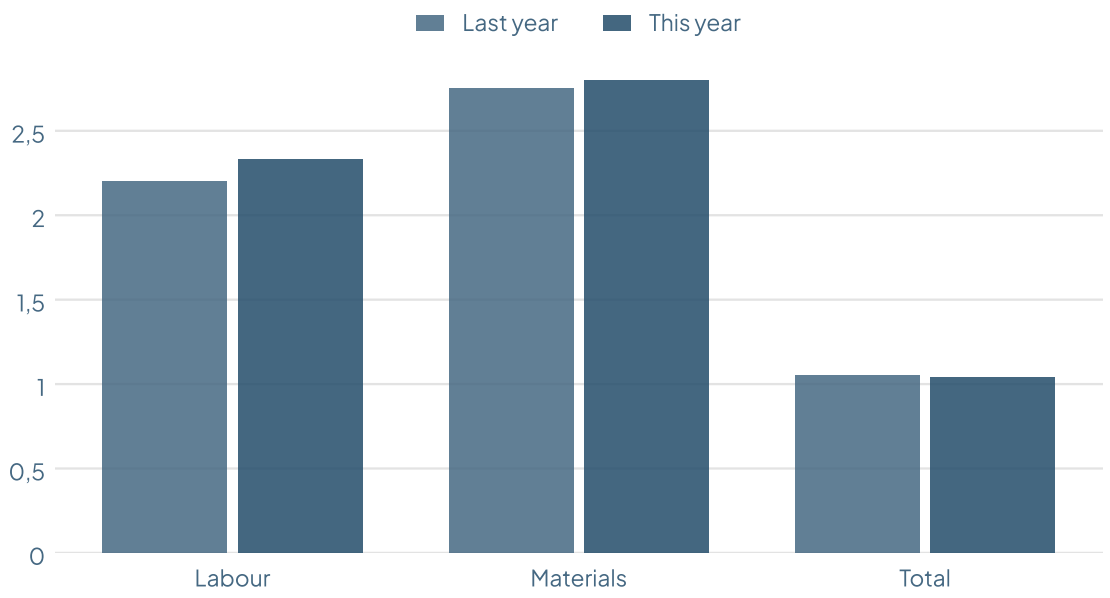
An 18-day strike at one brake supplier idled 26 plants — ~$900m lost earnings.

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Productivity = Outputs ÷ Inputs
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Partial (one input), multifactor (a group of inputs), total factor (all outputs ÷ all resources). It is a relative measure.

Measure	Last year	This year
Labour	2.20	2.33
Raw materials	2.75	2.80
Total	**1.05**	**1.04**

Productivity last year vs this year



Paradox

Both partial measures rose, yet total productivity fell — other inputs grew faster.

8 Blue Ocean: two kinds of market space and the evidence

Red ocean	Blue ocean
Defined boundaries, known rules	Untapped space, demand creation
Compete in existing space	Create uncontested space
Beat the competition	Make it irrelevant
Exploit existing demand	Create and capture new demand
Accept the value–cost trade-off	Break it
Differentiation or low cost	Both together

Nuance

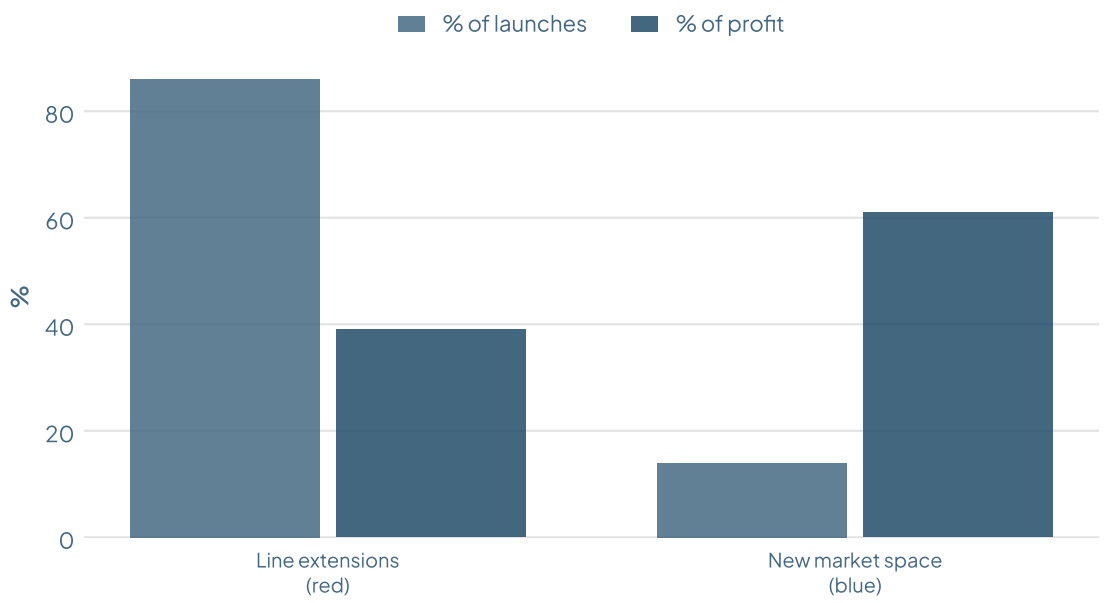
Most blue oceans are created from within red oceans by expanding boundaries (Cirque du Soleil).

86%
Line extensions

14%
Aimed at new market space

61%
Of total profit from that 14%

108 launches: share of launches vs share of profit



The unit of analysis is the **strategic move**.

9 Value innovation — the cornerstone

Make the competition irrelevant by creating a leap in value for buyers and the company at the same time.

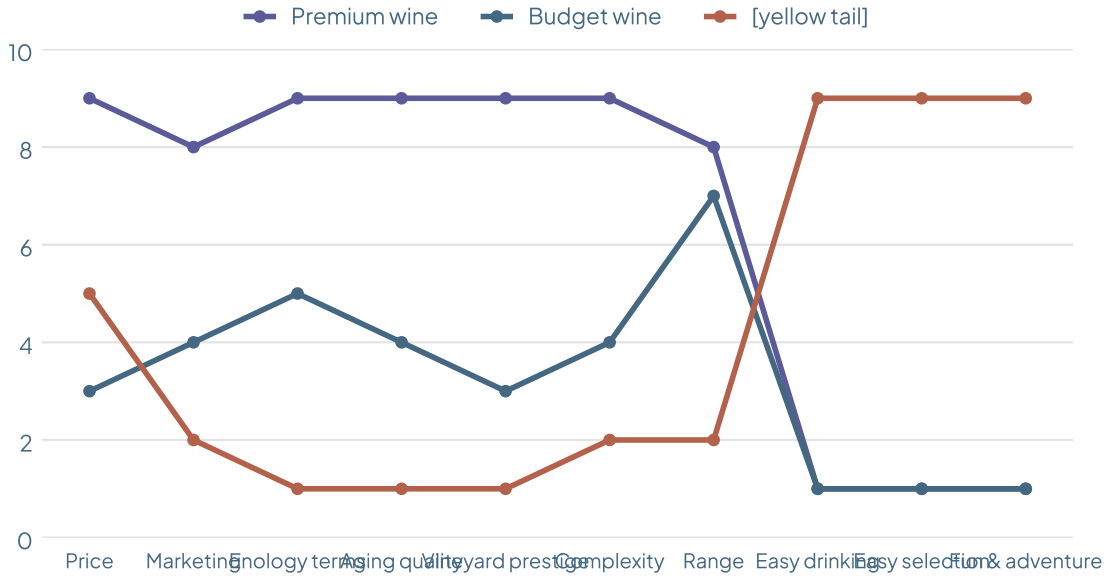
Feature	Explanation
Defies the value-cost trade-off	Pursue differentiation and low cost simultaneously.
Whole-system approach	Utility, price and cost must align; a subsystem innovation rarely creates new space.

Sources	Cost savings from eliminating and reducing; buyer value from raising and creating.
Reconstructionist view	Market boundaries and industry structure can be reconstructed.

10 Tools 1–3: strategy canvas, four actions, ERRC grid

Strategy canvas: x = factors the industry competes on; y = offering level; the line = value curve.

US wine strategy canvas (conceptual)



US wine

1,600+ wineries with converging curves — premium and budget have the same shape at different altitudes.

ELIMINATE

Factors taken for granted that no longer add value.

RAISE

Remove compromises the industry forces on customers.

REDUCE

CREATE

Entirely new sources of buyer value.

Where products are overdesigned to beat rivals.

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Eliminate + Reduce → lower cost · Raise + Create → higher value
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	[yellow tail]	Cirque du Soleil
Eliminate	Enological jargon; aging qualities; above-the-line marketing	Star performers; animal shows; aisle concessions; multiple arenas
Reduce	Complexity; range; vineyard prestige	Fun and humour; thrill and danger
Raise	Price vs budget wines; retail store involvement	Unique venue
Create	Easy drinking; fun and adventure; ease of selection	Theme; refined environment; multiple productions; artistic music and dance

[yellow tail]
Fastest-growing brand in Australian and US wine history with no promotional campaign; it grew the market.

11 Three tests of a good strategy (Southwest) and six value-curve signals

Focus
Friendly service, speed, frequent point-to-point departures — no meals, lounges, seat choice.

Divergence
Point-to-point between midsize cities vs hub-and-spoke.

Tagline
"Plane speed at car prices, whenever you need it."

#	Signal	Sign

1	Blue ocean	Focus, divergence, tagline
2	Caught in the red ocean	Curve converges with rivals
3	Overdelivery without payback	High everywhere, share and profit don't follow
4	Incoherent	Zigzag curve from silos
5	Strategic contradictions	High on one factor, neglecting its supports
6	Internally driven	Factors written in operational jargon

12 The strategy map and how Blue Ocean completes it

A **strategy map** shows actionable steps toward Porter's generic strategies and how objectives and initiatives interconnect. The activity map answers how we deliver the chosen position; the canvas asks whether it is worth holding.

Question	Classic tool	Blue Ocean addition
Where do we compete?	Industry analysis, structure given	Reconstruct boundaries (alternative industries, strategic groups, buyer groups, complements, time)
What do buyers value?	Qualifiers and winners from current customers	Canvas: alternatives and noncustomers
Where to invest more/less?	Dimensions and trade-offs	Four actions & ERRC
How do we deliver?	Activity-system fit	Whole-system alignment of utility, price, cost
Is it working?	Effectiveness and productivity	Three tests + six signals

13 Enel's Innovability: the company, the move and the innovation engine

INSEAD IN1644, Case Centre award 2021. Founded 1962, privatised 1999 (IPO > US$17bn). 2018: €76bn revenue, €16.4bn gross operating margin, 69,300 employees, 34 countries, 89.8 GW managed, 43 GW renewable, 2.2m km grid, 73m end users. Megatrends: decarbonization (77% of new capacity renewable by 2050), electrification (+62% demand), decentralization (prosumers), digitalization.

"Sustainability is the goal; innovation is the tool." — Francesco Starace.

Pillar	What changed
Purpose	Sustainability as the driver of innovation; functions merged into Innovability
Structure	Global business lines × regions; Innovability reports to the CEO, teams in every line
Culture	No-blame: "My Best Failure", "Make it Happen!", RACI without a manual
Capital allocation	Investment committee screens projects on sustainability and innovation too; billions rejected

1. Identify challenges ("I NEED")
2. Select the tool
3. Originate solutions (hubs, crowdsourcing, suppliers, universities)
4. Proof-of-concept with KPIs
5. Scale up

Results by 2019: 6,000+ start-ups scouted, 250 projects, €30m+ committed, 50+ scaled globally.

14 Four Enel discussion questions (with answer directions)

Question	Core	Answer direction
Q1 Blue ocean?	Same four segments, same regulators; megatrends visible to all.	What was eliminated? Which noncustomers now buy? New shape or same shape higher? Mostly excellent operational effectiveness with blue-ocean elements in new businesses.
Q2 ERRC grid	At least two ELIMINATE items.	Eliminate country silos, closed R&D, fear of failure, equity stakes in start-ups; reduce new fossil investment; raise renewables and digital grids; create open-innovation platform, new services, SDG bonds.
Q3 Winner or qualifier?	2019 SDG-linked bond, US$1.5bn, ~3× oversubscribed; stock +66%.	Winner for capital markets; electrons are identical for households; an input to corporate buyers' compliance; migrates to qualifier as everyone turns green.
Q4 How long blue stays blue	PV US$3.5/W (2000) → 0.62 (2016); PV −85%, wind −49% since 2010.	Capital intensity and regulation slow imitation; falling costs speed obsolescence; Enel built renewal into platforms, capital allocation and culture.

15 Wrap-up: five takeaways

1. **Strategy is a choice about resources, not a statement of ambition.**
2. **You cannot be best at everything** — know qualifiers vs winners, and expect the boundary to move.
3. **Fit beats brilliance in any single activity.**
4. **Blue Ocean asks what the strategy map assumes away** — discipline lives in eliminate and reduce.
5. **No position is permanent — build the search capability** (Enel changed structure, culture and capital allocation together).

Key takeaways

1. Sustainable strategy = people, profit, planet; much of the impact sits in operations.
2. Operations & SC strategy guides resource use for corporate strategy; operations effectiveness implements priorities at minimum cost.
3. Formulation: strategic analysis → initiatives → implementation projects.
4. Competitive dimensions: cost, speed, reliability, quality, demand changes, flexibility/new-product speed, support.
5. Order qualifiers vs winners; winners migrate to qualifiers.
6. IKEA's activity system: advantage from fit.
7. Supply chain risk: identify, assess, mitigate (GM 1996).
8. Productivity = outputs ÷ inputs; partial gains can hide a total decline.
9. Red vs blue oceans; 14% of launches → 61% of profit; the strategic move is the unit of analysis.
10. Value innovation: lower cost and higher value together.
11. Strategy canvas, four actions, ERRC grid.
12. Focus, divergence, tagline; six value-curve signals.
13. Enel's Innovability: purpose, structure, culture, capital allocation, open innovation.

Case studies

Case & worked answers

Enel's Innovability — discussion answers

Enel merged innovation and sustainability into "Innovability", reporting to the CEO, with open innovation (6,000+ start-ups scouted, 50+ scaled). Q1: mostly not a pure blue ocean — closer to operational effectiveness plus capability change; new value for noncustomers (prosumers, e-mobility, demand response) is the blue part. Q2 ERRC: eliminate new coal, closed R&D, fear of failure, most start-up equity stakes; reduce fossil dependence and silos; raise renewables, digital grid, POC speed; create hubs, crowdsourcing, prosumer models, SDG-linked bond. Q3: sustainability is a winner in capital markets, a qualifier for households, a compliance input for corporates — and migrates to qualifier once everyone is green. Q4: regulation slows imitation, falling tech costs speed obsolescence; what lasts is the renewal engine.

Worked examples

Problem 1 · Easy **Produktivitas tenaga kerja**

Bulan lalu 4 karyawan × 160 jam menghasilkan 1.280 unit. Bulan ini, setelah perbaikan proses, 4 karyawan × 150 jam menghasilkan 1.350 unit. Berapa kenaikan produktivitasnya?

1. `Produktivitas = Output ÷ Input`
2. Lalu: 1.280 ÷ 640 jam = 2,0 unit/jam.
3. Sekarang: 1.350 ÷ 600 jam = 2,25 unit/jam.
4. Kenaikan = (2,25 – 2,0) ÷ 2,0 = 12,5%.

Answer: Produktivitas naik 12,5% (2,0 → 2,25 unit/jam).

Problem 2 Medium **Produktivitas multifaktor**

Nilai output Rp50 juta. Input: tenaga kerja 10, bahan 20, modal 5, energi 2 (Rp juta). Hitung produktivitas multifaktor.

1. Total input = 10 + 20 + 5 + 2 = 37.
2. MFP = 50 ÷ 37 = 1,35.

Answer: 1,35 — setiap Rp1 input menghasilkan Rp1,35 output.

Practice questions

Try answering first. The answer key is below each question.

1. Battery life decides among qualifying laptops. It is the…

A. Qualifier
B. Order winner
C. Hygiene
D. Table stakes

Answer: B. Final differentiator.

2. In ERRC, the cost-cutting actions are…

A. Raise & create
B. Eliminate & reduce
C. Create only
D. Raise only

Answer: B. Raise/create lift value.

3. The 14% of launches creating new space produced what share of profit?

A. 14%
B. 39%
C. 61%
D. 86%

Answer: C. 61%.

4. The three tests of good strategy are…

A. Price, quality, speed
B. Focus, divergence, tagline
C. VRIO
D. Plan, source, make

Answer: B. Southwest example.

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5. Labour and materials productivity rose, total fell. Likely…

A. Miscalculation
B. Other inputs grew faster than output
C. Output collapsed
D. Impossible

Answer: B. Partial measures mislead.

Sources

- P3MD MK4 OSCM — Strategy (class slides, final)
- Jacobs & Chase — OSCM, Ch. 2; Kim & Mauborgne — Blue Ocean Strategy, Ch. 1–2
- Garcia & Monteiro — Enel's Innovability, INSEAD IN1644 (2021)